Revenue expenditure is for the normal running of Government departments and for rendering of various services, making interest payments on debt, meeting subsidies, grants in aid, etc. Broadly, the expenditure which does not result in creation of assets for the Government of India, is treated as revenue expenditure. All grants given to the State Governments/Union Territories and other parties are also treated as revenue expenditure even though some of the grants may be used for creation of capital assets.

Capital receipts and capital payments together constitute the Capital Budget. The capital receipts are loans raised by the Government from the public (these are termed as market loans), borrowings by the Government from the Reserve Bank of India and other parties through the sale of Treasury Bills, the loans received from foreign Governments and bodies, disinvestment receipts and recoveries of loans from State and Union Territory Governments and other parties. Capital payments consist of capital expenditure on acquisition of assets like land, buildings, machinery, equipment, as also investments in shares, etc., and loans and advances granted by the Central Government to the State and the Union Territory Governments, government companies, corporations and other parties.

The AFS contains the following three statements:

Statement I: Relates to the Consolidated Fund of India and shows Revenue Account Receipts, Revenue Account Disbursements, Capital Account Receipts and Capital Account Disbursements. The expenditures other than charged expenditure proposed is submitted to the Vote of the House in the form of Demand for Grants under Art. 113 (2). It also shows the gross tax revenue of the Union and the States' share as also the receipts and expenditure of the UTs without legislature.

Statement IA: Shows disbursement charged on the Consolidated Fund of India. The expenditure charged on the CFI has been enumerated under Article 112(3)and any other expenditure declared